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Education

Harvard University
Ph.D., Business Economics, 2021 to 2027 (expected)
M.A., Business Economics, 2023
B.A., Applied Mathematics, *magna cum laude* with Highest Honors in Field, 2020

Fields

Financial Economics, Macroeconomics

References

Jeremy Stein
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Job Market Paper

How Do Banks Respond to Regulatory Capital Requirements?

Banks allocate their portfolios across several types of loans and securities. Although a large empirical banking literature finds that stronger capital requirements reduce bank lending, these bank-level studies generally estimate an aggregate elasticity that combines individual asset-level supply elasticities with portfolio substitution. Analyzing counterfactual policies that change individual assets' regulatory penalties, rather than rescaling bank-level requirements, requires separating these quantities. I develop a new method to separate asset supply elasticities from portfolio substitution by using changes in bank-level requirements that shift each asset's regulatory penalty according to its risk weight. My method recovers a positive supply elasticity for every asset category and finds that banks' securities holdings respond more to regulatory costs than loans do. Its predictions match out-of-sample bank portfolio responses to changes in capital regulation. Applying these elasticities to post-crisis capital requirements, I ask whether stronger capital regulation explains banks' portfolio shift away from lending since the financial crisis. I show that capital requirements account for a relatively small share of large banks' shift from lending to securities since 2012.

Publications

The Evolution of Banking in the 21st Century: Evidence and Regulatory Implications
with Samuel G. Hanson, Victoria Ivashina, Jeremy C. Stein, Adi Sunderam, and Daniel K. Tarullo.
Brookings Papers on Economic Activity, Spring 2024.

As revealed by the failures of three regional banks in the spring of 2023, bank runs are not a thing of the past. To inform the ongoing discussion of the appropriate regulatory response, we examine trends in the banking industry over the last twenty-five years. On the liability side of bank balance sheets, deposits—and especially uninsured deposits—have grown rapidly. On the asset side, there has been a notable shift away from the information-intensive lending traditionally associated with banks and towards longer-term securities such as MBS and long-term Treasuries. These trends appear to be related, in the sense that banks with the most rapid growth in deposits have seen the biggest declines in loans as a share of assets. Thus, while the banks that failed in early 2023 were

arguably extreme cases, they reflect broader trends, especially among larger banks. We construct a simple model to help assess the main regulatory options to reduce the risk of destabilizing bank runs—expanding deposit insurance and strengthening liquidity regulation— and argue that the industry trends we document favor the latter option. Using the model, we offer some design considerations for modifying the Liquidity Coverage Ratio so as to require banks to pre-position sufficient collateral—largely in the form of short-term government securities—at the Federal Reserve's Discount Window to ensure they have enough liquidity to withstand a run on their uninsured deposits. We also comment briefly on some other regulatory implications of our findings, including for interest rate risk regulation and merger policy.

Working Papers

The Effect of Inflation-Indexation on Employment: Evidence from Belgium
with Gert Bijnens (National Bank of Belgium), Helene Hall and Hugo Monnery (formerly Ph.D. Candidates, Harvard University)

In Belgium, nearly all employees' wages are indexed to inflation. Firms are grouped into longstanding labor agreements that determine the exact timing and frequency at which wages are indexed, e.g. every year versus every month. Using firm-level administrative data, we leverage the resulting variation in real wages across firms to estimate the employment response. We find that employment contracts by 0.4% over four quarters for each 1% increase in wages. This result is robust to including NACE sector-date fixed effects and to using only variation in firms' indexation timing, controlling for their chosen indexation frequency. About one-third of the response comes via anticipation of future wage increases. The elasticity is more than twice as large in magnitude in the post-pandemic period than before it, suggesting strong nonlinearities. Overall, these results show that, by preventing inflation from reducing real wages, inflation indexation reduces employment.

Fellowships & Awards

Humane Studies Fellowship, Institute for Humane Studies, 2025–2026
J. Robert Beyster Fellowship, Rutgers University, 2024
National Science Foundation, Graduate Research Fellowship, 2023
Paul and Daisy Soros Fellowship for New Americans, 2022
John T. Dunlop Prize (for top thesis in business and government), Harvard College, 2020
Thomas Temple Hoopes Prize (for exceptional theses), Harvard College, 2020
National Federal Reserve Challenge, 2nd place, 2017 and 2019
National Top Speaker, High School Policy Debate, National Speech and Debate Association. 2016

Teaching

The Financial System and the Central Bank, Harvard College, Professor Jeremy Stein, 2024
Managing and Innovating in Financial Services, Harvard Business School, Professor David Scharfstein, 2024
Macroeconomic Stabilization Policies, Harvard College, Professor Lawrence Summers, 2020
Intermediate Macroeconomics, Harvard College, Professor Christopher Foote, 2020
Advanced Econometrics, Harvard College, Professor Elie Tamer, 2019

Employment

Federal Reserve Board of Governors (Supervision & Regulation), Ph.D. intern, 2023–2025
Goldman Sachs, U.S. Economics Research Summer Ph.D. Associate (Jan Hatzius), 2022
Goldman Sachs, U.S. Economics Research Analyst (Jan Hatzius), 2020–2021

Research Assistance

Research Assistant for Professor Kenneth Rogoff, Harvard University, 2020
Research Assistant for Professor Lawrence Summers, Harvard University, 2018–2020

Academic Service

Referee: *Quarterly Journal of Economics*, *AER Insights*
Mentorship: Harvard College Federal Reserve Challenge team; Charles River Economic Labs (Harvard College Economics consulting club); Harvard and MIT Application Assistance and Mentoring Program

Languages

English (native); Romanian (native); Spanish (fluent); French (proficient); Portuguese (intermediate); Mandarin Chinese (beginner)

Software Skills

Python, Stata, Matlab, R, EViews

Citizenship

United States, Romania